Bafin Federal Financial Supervisory Authority

CONSUMER PROTECTION

Robo-advice

More and more consumers are turning to automated applications to manage their finances, compare products or carry out transactions. These applications can now be found in all areas of banking, insurance and financial services.

What is robo-advice?

Robo-advice is the term used to describe investment support provided by partially or fully automated tools that are usually based on algorithms. This form of advice is characterised by two features:

1. Human intervention is either completely absent or very limited. The customer communicates directly with a computer, for example via a smartphone app or a website.
2. The service is provided based on algorithms. The solutions suggested are based on the data entered beforehand. This includes objective data such as age and occupation as well as subjective data such as investment objectives, financial situation and personal knowledge.

What types of automation are there?

Digitalisation has spread to all areas of financial services, but the degree of automation within these areas varies greatly. From a legal perspective, robo-advice for investments can take the form of investment advice, portfolio management, contract broking or investment broking.

Investment advice and portfolio management



The most sought-after robo-advice services are currently investment advice and portfolio management. Most of these services use automated tools, which are themselves often referred to as “asset management” or “portfolio management”. When using these services, customers provide information on their investment objectives and their risk tolerance. An algorithm then uses this data to develop a suitable investment strategy. In the case of investment advice, the service provider then recommends specific financial instruments, such as investment funds or ETFs, that match the customer’s profile.

Depending on the offer, robo-advisors are either banks, financial service providers – often start-ups or fintechs – or financial investment brokers. Banks and financial service providers are supervised by Bafin, while the chambers of industry and commerce (IHK) monitor financial investment brokers.

Other banking and insurance services



Digitalisation is also advancing across other banking services, primarily in the form of automation. Comparison websites for mortgages, personal loans, bank accounts and deposits are playing a key role here. These platforms offer functions ranging from simply providing information to enabling the conclusion of contracts with listed providers. In most cases, they act as intermediaries, not as direct providers.

Other platforms make specific product recommendations based on customer data. These recommendations take into account the information entered and other available data.

New business models are emerging in the insurance sector as well. Algorithms recommend suitable products, such as for retirement planning or indemnity insurance. Some insurers offer customers the option of creating personalised services on their websites. These are based on the data provided during the session or on information submitted in the past. Advice is often initially provided automatically and supplemented by personal contact later on.

What opportunities and risks are associated with robo-advice in the form of investment advice and portfolio management?

The automation of investment advice and portfolio management services may provide you with the following advantages:

Lower costs



By automating financial services, providers can reduce their costs and expand their range of offerings. Nevertheless, the services offered are not always free of charge for the customer. The development and operation of IT systems also generate costs. As with traditional offerings, providers must develop suitable product solutions.

Up-to-date and comprehensive information



Automated tools and their algorithms are developing faster than investment advisors can update their skills. This enables automated tools to always take into account the most up-to-date information in their offers. In addition, automated tools can process larger and more complex amounts of data in a shorter amount of time and can therefore scan a wider range of offers.

Simplified access



Automated tools are cost-effective and thus enable a broader customer base to access services. They expand the range of services offered, making it possible for customers who have reservations about traditional services to use the tools. They also provide customers with access to a large number of service providers who can be reached online almost around the clock.

Decision-making more rational



Automated tools help customers make decisions more rationally, as “soft” factors play less of a role when it comes to investing money. Without the influence of personal relationships, it is easier for customers to make free and unbiased decisions.

Better transparency

Online services improve the transparency and documentation of the investment process. Automated tools systematically record all the stages of the process and maintain a history. This gives customers access to the complete documentation of their relationship with the service provider, which is particularly helpful in the case of long-term contracts.

You may face the following risks when using automated investment advice and portfolio management services:

Incomplete information, errors in information processing, lack of diligence

The outcome of any form of advice depends on the information the customer receives and what they already know. Even in the case of automated investment advice or portfolio management, customers can make inappropriate decisions if they are not given sufficient information or if they misunderstand the information they receive. In contrast to conventional services, automated solutions can make it more difficult for customers to ask questions or to communicate that information is not clear. This is particularly true for fully automated tools, which are not designed to involve human interaction. Therefore, be careful to have all your questions answered before you sign a contract or initiate a transaction. It is also advisable, before you sign a contract, to read all the documents – especially the general terms and conditions and the contractual terms – just as carefully as you would read them for a conventional offer, and to make sure you understand these documents.

Incorrect data entry (lack of diligence)

Automated tools often appear user-friendly and are easy to use. This can lead to carelessness. Customers may make ill-considered decisions that do not take all risks into account, for example by entering data carelessly or giving impulsive answers to questions.

Unsuitable offers



Automated tools rely heavily on the customer data entered. Customers need to understand how these data impact the results. Otherwise, they run the risk of receiving investment recommendations that do not match their objectives – for example, if their risk tolerance or their income changes.

Up-to-dateness



Since in most cases automated tools can provide daily or even minute-by-minute investment recommendations, it is possible that a recent transaction is no longer relevant or no longer meets the customer's wishes and objectives. Conversely, this means that before making any investment, the customer must check the accuracy and up-to-dateness of any previous data still held for them in the system. Otherwise, the investment they make may be based on incorrect data.

Lack of transparency with costs and fees



It is often unclear why a particular product is recommended. Customers should be aware that even seemingly objective advice can be influenced by providers' interests. Providers may favour their own products, pursue certain sales targets or give priority to offers with higher fees and commissions.

Misperception of a "personal" offer



Customers may mistakenly interpret an automated result as personalised advice. Many comparison websites ask general questions so they can quickly display offers. However, these offers are usually merely a rough

guideline, hardly taking individual circumstances into account; they can be considered information for the customer but not “customer advice”. Providers might also use leading questions or default settings to sway customers’ choices away from their own best interests. For example, questions about risk tolerance could tempt a customer to take on more risk than is appropriate for their personal objectives.

Misuse of personal data



Automated tools require customer data, but it is often unclear how providers use this data. They could analyse the data for other purposes or pass it on to third parties. Customers often unknowingly consent to the use of their data, for example by ticking boxes for terms and conditions and privacy policies without actually reading them.

Incomplete tools



Automated tools use algorithms that are based on specific parameters or assumptions. These do not always meet the needs of all users. The recommendations are therefore often inappropriate and their quality limited. In addition, many tools only use predefined categories. In this case, the recommendation may be incomplete and fail to reflect the customer’s personal situation.

Defective and outdated tools



Complex algorithms in particular run the risk of programming errors. Another risk is that algorithms may not be adapted to changing conditions. Both of these factors can lead to incorrect or even inappropriate recommendations.

Manipulation



Automated tools can be manipulated. Hackers can change algorithms or manipulate the data sources used. There are often no control mechanisms in place or possibilities for human intervention that could prevent such tampering.

What costs and fees will I have to pay if I use automated tools?

You will have to pay for the product you purchase. Providers of automated investment advice usually earn an additional commission on the products recommended. In the case of automated portfolio management, the fee is often based on a percentage of the securities account balance. A performance-related fee is often charged in addition.

If your robo-advisor is legally obliged to provide you with a cost overview, you will find all applicable costs and incidental costs in the ex-ante (advance) and ex-post (retrospective) cost information. These documents cover both the service and the recommended products or investment strategies. If you have any questions or would like a detailed breakdown, you should contact the provider directly.

If your robo-advice provider is not obliged to provide you with ex-ante and ex-post cost information, you should address your questions directly to the service or product provider. Reputable providers will provide you with clear information.

What do I need to be aware of when using automated tools?

To use automated investment advice or portfolio management tools, you need to have fundamental IT knowledge and a good grasp of the basics of ■ IT security. Providers rarely offer personal support. For this reason, be careful to do your own research on the opportunities and risks associated with the products offered before you sign a contract or place an order. Make sure you understand exactly what costs will or could be incurred.

Ask critical questions about the provider's investment recommendations and strategies. Find out about the risks associated with automated offers and how they differ from conventional ones. Check whether the recommended strategy

matches your risk and opportunity preferences. Carefully consider whether you can do without the invested capital during the recommended investment horizon and whether you can afford the costs incurred.